



IAS PRELIMS 2020

TERMINOLOGY ...

FOR CRYSTAL CLEAR CLARITY

ECONOMY RELATED - I

MODULE - 4

IMPORTANT TERMINOLOGY

ECONOMY

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2 EMBEDDED TAXES

3 INVERTED DUTY STRUCTURE

4 IMPORT SUBSTITUTION

5 LEGACY ISSUES

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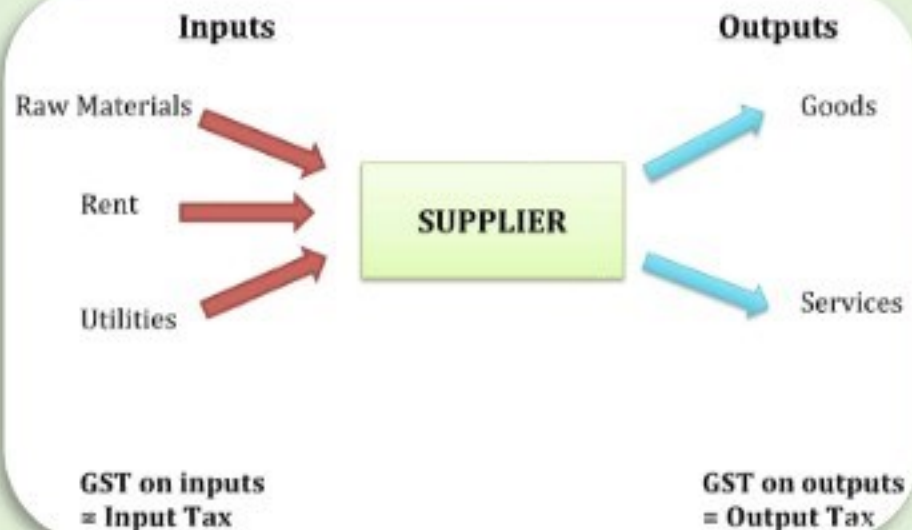
10 UNICORN COMPANY



1

INPUT TAX CREDIT

Input Tax Credit means at the time of paying tax on output, we can reduce the tax we have already paid on inputs.



INPUT TAX CREDIT

Steel Rods



Cost...Rs. 100/-
GST...Rs. 12/-

Iron Grill



Cost...Rs. 200/-
GST...Rs. 36/-

SIMPLE EXAMPLE!

*Cost of grill without Input Tax Credit = Rs. 200 + 36
= Rs. 236*

*Cost of grill with Input Tax Credit = Rs. 200 + 36 - 12
= Rs. 224*



2

EMBEDDED TAXES

- ◆ The taxes on diesel, electricity, stamp duty on real estate transactions are examples of embedded taxes and they will have cascading effect.
- ◆ Cascading tax effect means a tax on tax.



Government recently approved a scheme for rebate of all state and central embedded levies for apparel and made-up textile segments.



3 INVERTED DUTY STRUCTURE

- ◆ The name given to the duty, where import duty on finished goods is low compared to the import duty on raw materials, that are used in the production of such finished goods.
- ◆ An inverted duty structure discourages domestic value addition.
- ◆ Inverted rate structure is also a case where GST rates on Inputs materials is more than outward supplies.

**TYRES****RUBBER**

4

IMPORT SUBSTITUTION

- ◆ The policy of encouraging domestic production by raising barriers against the import of goods from foreign countries.
- ◆ Some economists recommend them for self-sufficiency, and to develop domestic industry.
- ◆ India adopted it prior to the liberalisation of its economy in 1991.
- ◆ Critics have argued that import substitution make consumers poorer in the long run, by preventing them from enjoying the benefits of free trade.
- ◆ Due to the restrictions imposed on foreign trade, it can lead to lethargy and bureaucratic corruption.



$$\text{Rs. } 10,000 + 10\% = \text{Rs. } 11,000$$

**Tariff increased
from 10% to
30%**

$$\text{Rs. } 10,000 + 30\% = \text{Rs. } 13,000$$



5

LEGACY ISSUES

These are the issues that remain from an earlier time.



6

LOW HANGING FRUITS

- ◆ Getting the maximum output with minimum effort.
- ◆ It refers to the tasks, actions or goals that may be most easily achieved.
- ◆ It is used to describe an action that takes almost no effort.



7

POLICY PARALYSIS

It is the complete lack of initiative at implementing crucial reforms required in the Government Sector.



8

LOGISTICS COSTS

- ◆ These are the costs associated with taking a product from the factory to the consumer.
- ◆ Logistics costs relate to the charges for various transportation methods, including train travel, trucks, air travel and ocean transport.
- ◆ Additional logistics costs include fuel, warehousing space, packaging, security, materials handling etc.



9 SPECIAL PURPOSE VEHICLE

- ◆ A Special Purpose Vehicle (SPV) is a legal entity created for a limited business acquisition or transaction.
- ◆ It is to fulfill narrow, specific or temporary objectives.
- ◆ SPVs are typically used by companies to isolate the firm from financial risks also.



10

UNICORN COMPANY

A unicorn is a start-up company, which has a current valuation of more than \$1 billion.

The Paytm logo is displayed in a large, bold font. The word "pay" is in dark blue and "tm" is in light blue.

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